HOSPITALITY SERVICES FORECAST REPORT

Growth, renovations, and battle with independent villas

Quarterly | Bali | October 2025

Insights & recommendations

The holiday season continues to drive tourist arrivals, sustaining growth in Bali's hotel industry. MICE activities, which were previously constrained by efficiency measures, are slowly regaining momentum. However, political tensions that escalated in August, coupled with severe flooding, are expected to exert a broader pressure on the hotel sector in the coming quarters.

Another structural challenge comes form the rapid rise of independent villas. These operators, often offering competitive pricing and facilities on par with hotels, present a strong alternative for both domestic and international travelers. This dynamic is reshaping market competition and putting additional pressure on hotel operators to differentiate their offerings.

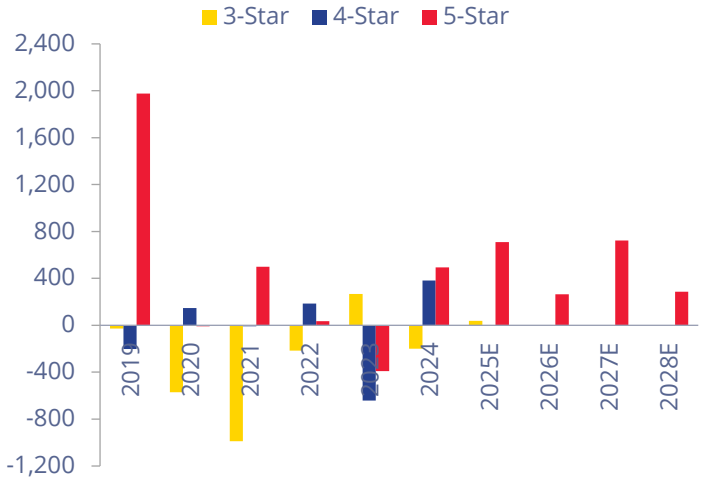
		Q3 2025	Full Year 2025	2025–28 Annual Avg.
Supply	Hotel supply will continue to be dominated by 5-star segment, with the majority of upcoming projects concentrated in Ubud.	↑ 69 rooms	↑ 1,040 rooms	578 rooms
		QOQ/ End Q3	YOY/ End 2025	Annual Avg Growth 2025–28/ End 2028
Occupancy	The year 2025 is expected to be challenging, with occupancy levels likely to close at a rate similar to 2024.	5.6% ↑ 78.3%	0.5% ↓ 71.4%	0.9%
Room rate	On the ADR front, an increase is anticipated, supported by sustained demand from international markets.	18.4% ↑ USD176.8	8.2% ↑ USD159.2	3.8%

Source: Colliers. Note: IDR16,364 = 1 USD. 1 square m = 10.76 square ft.

Luxury supply expands as development shifts to Ubud and beyond

Over the past nine months, 303 new rooms entered the market, bringing Bali's total hotel supply to 59,470 rooms as of Q3 2025. This addition has intensified competition, especially across Bali's prime tourism corridors. To remain attractive, hotels must go beyond providing facilities and prioritize maintaining service quality and product freshness. Renovation is a key strategy—one notable example is the Melia Bali Nusa Dua, currently undergoing major refurbishments and scheduled to reopen by late 2025.

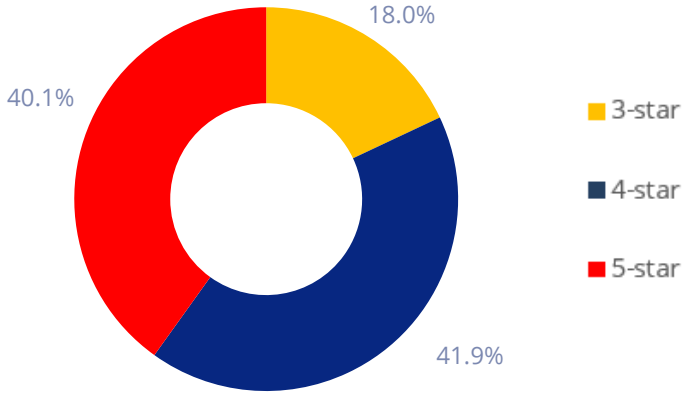
Annual supply



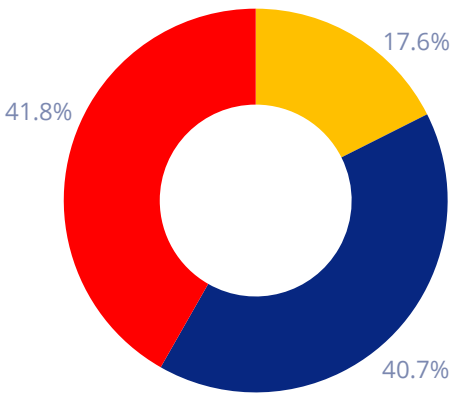
Source: Colliers

Supply distribution by star-rated (by #room)

As of Q3 2025



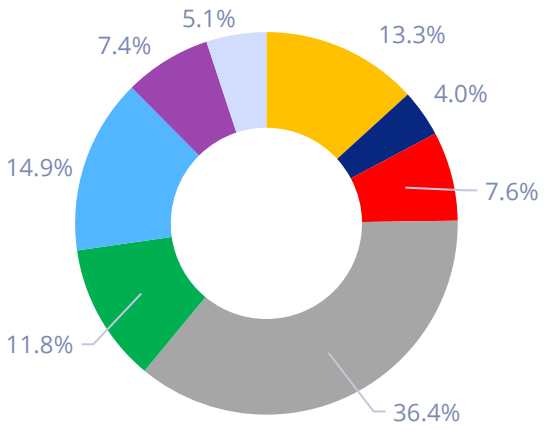
As of 2027E



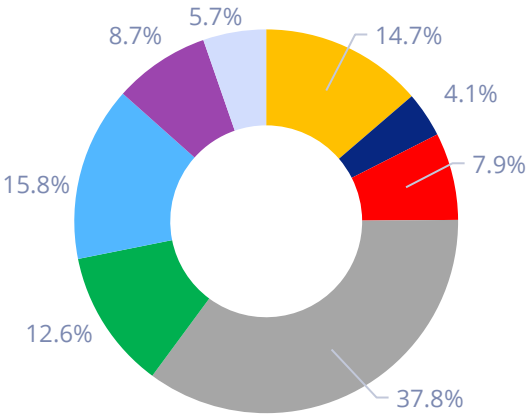
Source: Colliers

Distribution by area (based on #room)

As of Q3 2025



As of 2027



Source: Colliers

The development pipeline remains heavily concentrated in the 5-star segment, with Ubud emerging as focal point. Ubud's position as the center of wellness tourism in Bali, combined with limited land in South Bali, has reinforced its appeal as a preferred location for new developments.

Jimbaran-Uluwatu has also evolved into a growing destination hub. Here, hotel development has stimulated growth in supporting commercial sectors, including cafes, bars, restaurants, and villas.

Meanwhile, Tanjung Benoa faces unique challenges. Limited land supply is expected to constrain new developments at least until 2027. As such, the most feasible strategy involves acquiring, renovating, and rebranding existing properties. From a development perspective, this approach is advantageous as it avoids the lengthy process of securing new permits, since usage rights are already established.

Hotel supply mapping

Others

	As of Q3 2025		As of 2027E	
	#project	#room	#project	#room
3-star	15	815	15	815
4-star	30	1,964	30	1,964
5-star	5	213	7	490

Ubud

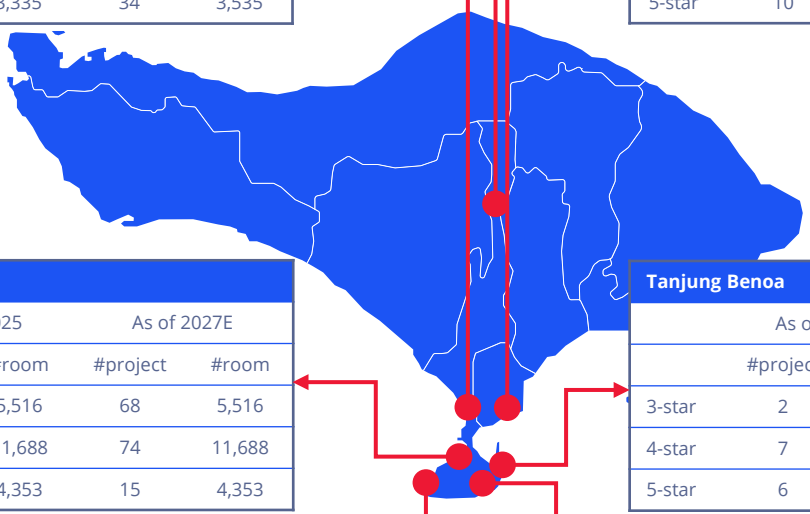
	As of Q3 2025		As of 2027E	
	#project	#room	#project	#room
3-star	17	651	17	651
4-star	23	1,047	23	1,047
5-star	52	2,690	57	3,242

Seminyak

	As of Q3 2025		As of 2027E	
	#project	#room	#project	#room
3-star	20	1,557	21	1,596
4-star	46	3,912	46	3,912
5-star	33	3,335	34	3,535

Sanur

	As of Q3 2025		As of 2027E	
	#project	#room	#project	#room
3-star	17	905	17	905
4-star	17	1,725	17	1,725
5-star	10	1,885	10	1,885



Kuta

	As of Q3 2025		As of 2027E	
	#project	#room	#project	#room
3-star	68	5,516	68	5,516
4-star	74	11,688	74	11,688
5-star	15	4,353	15	4,353

Tanjung Benoa

	As of Q3 2025		As of 2027E	
	#project	#room	#project	#room
3-star	2	170	2	170
4-star	7	846	7	846
5-star	6	1,330	6	1,330

Jimbaran - Uluwatu

	As of Q3 2025		As of 2027E	
	#project	#room	#project	#room
3-star	18	899	18	899
4-star	19	2,474	19	2,474
5-star	29	3,630	31	3,804

Nusa Dua

	As of Q3 2025		As of 2027E	
	#project	#room	#project	#room
3-star	3	198	3	198
4-star	12	1,240	12	1,240
5-star	25	6,427	26	6,921

Source: Colliers

Tourism

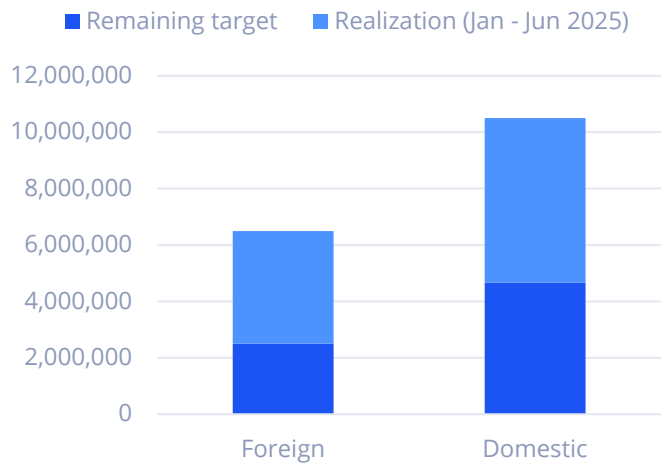
July peaks, but domestic tourism lags behind

As in previous years, July marked one of Bali's peak tourism periods, fueled by Australia's winter season and Indonesia's school holidays. This surge was clearly reflected in stronger hotel performance indicators during this month.

The government has set ambitious targets for 2025: approximately 6.5 million foreign tourists and nearly 11 million domestic tourists. However, by July 2025, only 62% of foreign target and 56% of the domestic target had been achieved. Particularly concerning is the decline in domestic arrivals compared to 2024. his reflects growing competition from overseas destinations, where promotions and competitive pricing have made foreign vacations more appealing than trips to Bali.

When compared YoY, July 2025 showed divergent trends. Foreign arrivals rose by 9.3%, while domestic arrivals declined by 11.4%. The fall in domestic visits suggests that many Indonesian travelers opted for alternative destinations, either elsewhere in the archipelago or abroad.

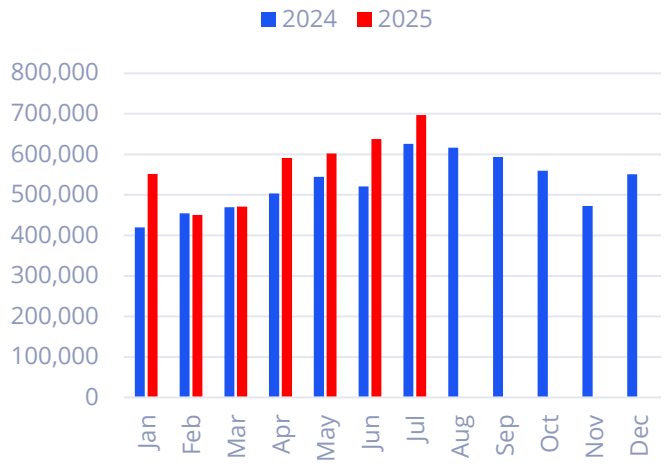
Tourist arrival: realization & remaining Target



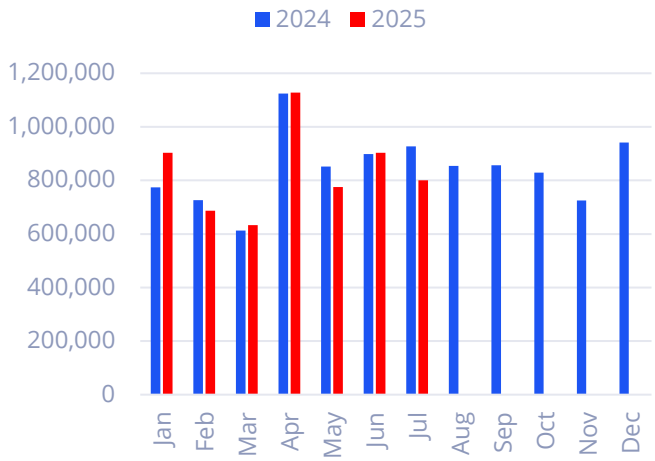
Source: Bali Provincial Tourism Office

Tourist arrival to Bali per month (by number)

Foreign

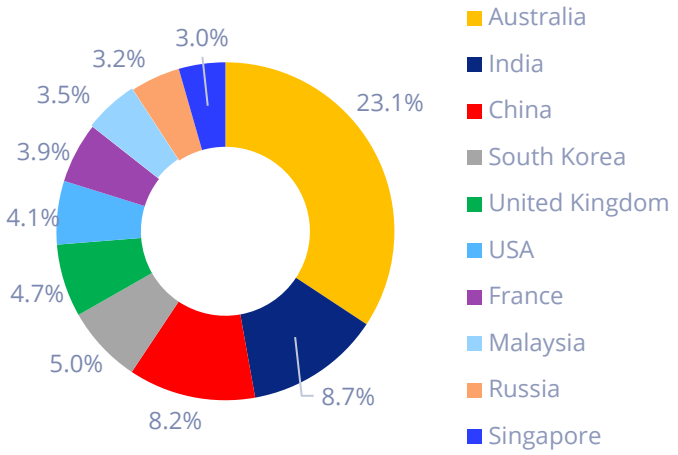


Domestic



Source: Bali Provincial Tourism Office

Top 10 Global Market in 2025



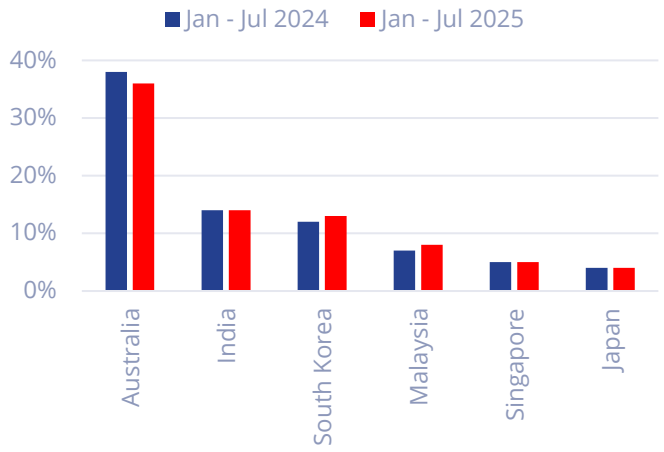
Source: Bali Provincial Tourism Office

Before 2020, the Australian and Chinese market consistently dominated Bali's international visitor profile. Since 2024, however, India, China and South Korea have emerged as key growth markets. For Australians, Bali continues to serves as a "second home", thanks to short flight times and abundant flight options.

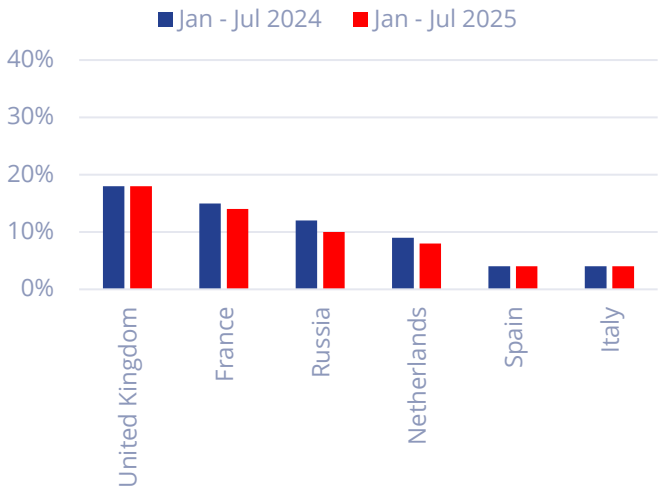
India's growing presence reflects both rising incomes and expanding air connectivity. Direct and transit flights between India and Bali have multiplied, fueling sustained demand. Beyond leisure travel, Bali is increasingly popular among Indian tourists as a destination for wedding, further strengthening this market segment.

Top 5 market 2024 vs 2025

Asia Pacific



Europe

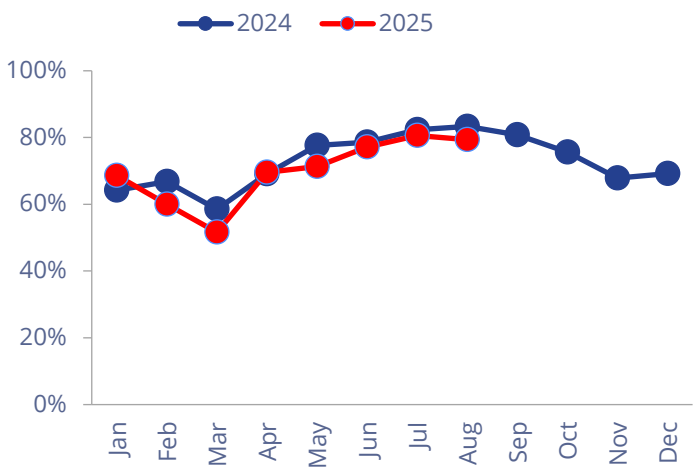


Source: Bali Provincial Tourism Office

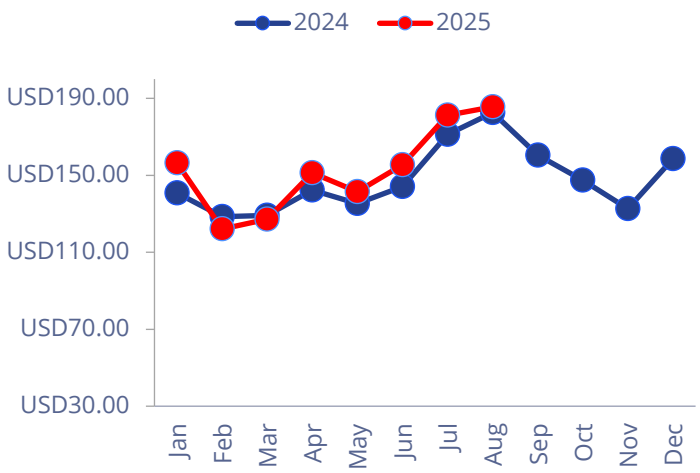
ADR holds firm on strong foreign demand

Monthly average occupancy rate (AOR)

AOR (Average Occupancy Rate), 2024 vs 2025



ADR (Average Daily Rate), 2024 vs 2025



Source: STR

The July tourist surge positively impacted both of occupancy and room rates. However, once the holiday season ended, arrivals--particularly domestics—declined, weighing on occupancy levels. With the domestic market accounting for 59% of total arrivals, this slowdown has been particularly significant.

The MICE segment, heavily driven by government activities, also softened in 2025, adding to downward pressure on occupancy. By August 2025, Bali's Average Occupancy Rate (AOR) stood at 79.4%, only a marginal decrease from July.

Conversely, the Average Daily Rate (ADR) rose 2% MoM in August. This resilience is largely attributed to foreign tourists, who contribute around 40% of arrivals and generally have higher spending power, sustaining demand for premium rooms.

Still, independent villas represent a growing competitive force. With attractive pricing, full amenities, and longer-stay appeal, villas are increasingly diverting foreign tourists from hotels. This trend may erode ADR in the medium to long term if hotels fail to reposition effectively.

Sustainable planning becomes key to Bali's hospitality future

The rapid pace of hotel and villa development in Bali has raised concerns about environmental sustainability. Continuous heavy rain in early September triggered floods in several areas, including Denpasar. The loss of green open spaces and water catchment areas appears to be contributing factor.

Despite these risks, Bali remains highly attractive to investors, supported by steady growth in foreign arrivals and the island's strong tourism brand. From the government's perspective, tourism represents a vital source of regional revenue, underpinning broader economic recovery.

In response to environmental challenges, the Ministry of Agrarian Affairs and Spatial Planning/National Land Agency (ATR/BPN) has temporarily suspended land conversion permits in Bali. At the same time, the provincial government has imposed a moratorium on new hotel, villa, and infrastructure projects on productive land and designated catchment areas.

Looking ahead, the government would benefit from conducting thorough on-site inspections and reviewing existing land use plans. This would allow for more sustainable mapping of future hotel and villa developments. Stricter permitting requirements should also be enforced to safeguard remaining green and catchment zones, ensuring that growth in Bali's hospitality sector does not come at the expense of long-term environmental stability.

Appendix

New pipeline

Hotel Name	Region	#Rooms	Opening Time
3-star			
Hotel Canggu Kho	Canggu	39	2025
5-star			
Alaya Hotel & Villa Ubud	Ubud	70	2025
Sudamala Ubud	Ubud	46	2025
JW Marriott Ubud Hotel & Spa	Ubud	101	2025

continued

Hotel Name	Region	#Rooms	Opening Time
			continuation
Vasa Hotel Canggu	Canggu	200	2026
KARV Hotel Bali Jimbaran	Jimbaran	64	2026
Cross Celesta Nusa Penida	Nusa Penida	61	2027
Vasa Hotel Ubud	Ubud	175	2027
The Apurva Kempinski Ubud	Ubud	160	2027
Mandarin Oriental	Uluwatu	110	2027
The Wylder Canggu by Cross Collection	Canggu	112	2028

Source: Colliers

Colliers

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